

SOUTH OF MOUND

Multi-Family Value-Add Investment Opportunity

1635 & 1645 E Mound Street, Columbus, OH 43205

Investment Highlights

- **Turnkey value-add opportunity** in the high-demand South of Main neighborhood, just east of downtown Columbus
- **Strong cash flow from day one** with 96.6% current occupancy and stable rental income
- **Measured rental growth:** Current rents of \$800-\$900/unit are expected to move toward our underwritten stabilized average of \$980/unit through light renovations and renewals
- **Compelling returns:** 0.6% Year 1 Cash-on-Cash (ramp) growing to 12.65% in Year 5, with a 5-year levered IRR of 20.3% and 2.32x equity multiple
- **Efficient leverage** at 75.0% LTC with bridge-to-permanent financing strategy and healthy 1.12x Year 1 debt service coverage
- **Year 2 refinance event:** Transition to permanent agency debt delivers \$41,430 in net refinance proceeds to LPs while maintaining strong cash flows
- **Self-management assumed:** In-house management saves the 4% third-party PM fee and improves long-term cash flows

Deal Summary

Acquisition Price	\$1,500,000
Renovation + Closing	\$233,500
Total Project Cost	\$1,733,500
Bridge Debt (8.0% IO)	\$1,297,875
LP Equity Required	\$432,625

Total Units	16
Price per Unit	\$93,750
Total Building SF	12,288
Avg Unit Size	700 SF
Current Occupancy	96.6%
LTC Ratio	75.0%
Year 1 DSCR	1.12x

Projected Returns (5-Year Hold)

Year 1 Cash-on-Cash

0.6%

Growing to 12.65% Year 5

5-Year Levered IRR

20.3%

Equity Multiple

2.32x

5-Year Cash Flow Projection

Year	NOI	Debt Service	Before-Tax CF	Cash-on-Cash
Year 1	\$116,752	\$103,830	\$2,522	0.58%
Year 2	\$143,727	\$103,830	\$29,497	6.82%
Year 3	\$149,223	\$94,737	\$44,086	10.19%
Year 4	\$154,446	\$94,737	\$49,309	11.40%
Year 5	\$159,852	\$94,737	\$54,714	12.65%

Ramp applied to Year 1 NOI; self-management assumed (no 4% PM fee). Delinquency assumptions: Year 1: 4.0% | Years 2+: 2.0% | Year 2 refinance to permanent debt.

Investment Strategy

This value-add opportunity allows us to acquire a stabilized, cash-flowing asset in a B- neighborhood with immediate positive returns while executing a straightforward renovation program. We are underwriting to a conservative stabilized Year 1 average rent of \$980/unit with 3.5% annual growth, and we apply a Year 1 NOI ramp as renewals and renovations progress. Our model assumes self-management, saving the 4% third-party PM fee.

Phase 1 (Months 1-6): Complete light renovations on turnover units including kitchen updates, bathroom improvements, and window replacements. These modest capital improvements support progress toward our \$980/unit stabilized target.

Phase 2 (Months 6-18): Execute systematic unit turns as leases expire, maintaining high occupancy while upgrading remaining units to capture full market rents.

Value Enhancement: With 16 units, the property is an ideal candidate for self-management, which would save 4% of EGI and further enhance LP returns. This approach allows for direct control over rent increases and property operations.

Market Overview

The South of Main neighborhood (43205 zip code) is experiencing strong rental demand driven by its proximity to downtown Columbus. Recent comparable listings within a 1-mile radius demonstrate robust market fundamentals:

- 1774 E Main St: \$1,003/month (\$1.43/SF) for 1BR/1BA - 702 SF
- 1450 E Fulton St: \$900/month (\$1.38/SF) for 1BR/1BA - 650 SF
- 1551 Bryden Rd: \$850/month (\$1.79/SF) for 1BR/1BA - 475 SF
- 1855 E Rich St (multiple units): \$750/month (\$1.49/SF) for 1BR/1BA - 505 SF

Our underwriting assumes \$980/unit (\$1.40/SF) with 3.5% annual growth. Nearby comparables indicate room for additional upside over time, but our base case is set to emphasize stability.

Property Condition & Deferred Maintenance

The property is in good overall condition with minimal deferred maintenance:

- **1635 Building:** Roof replaced within the last year (no deferred maintenance)

- **1645 Building:** Roof approximately 15 years old (budgeted for replacement in renovation costs)
- Water heaters updated within past 10 years
- Furnaces approximately 15 years old (adequate remaining useful life)
- 8 detached garages for storage
- Full basements in both buildings for owner storage and operations

Next Steps

We are currently in negotiations on this off-market opportunity and are moving quickly to secure the property. This executive summary provides a high-level overview of the investment thesis. A comprehensive investment memorandum with detailed market analysis, renovation specifications, financial projections, and exit strategies is available upon request.
